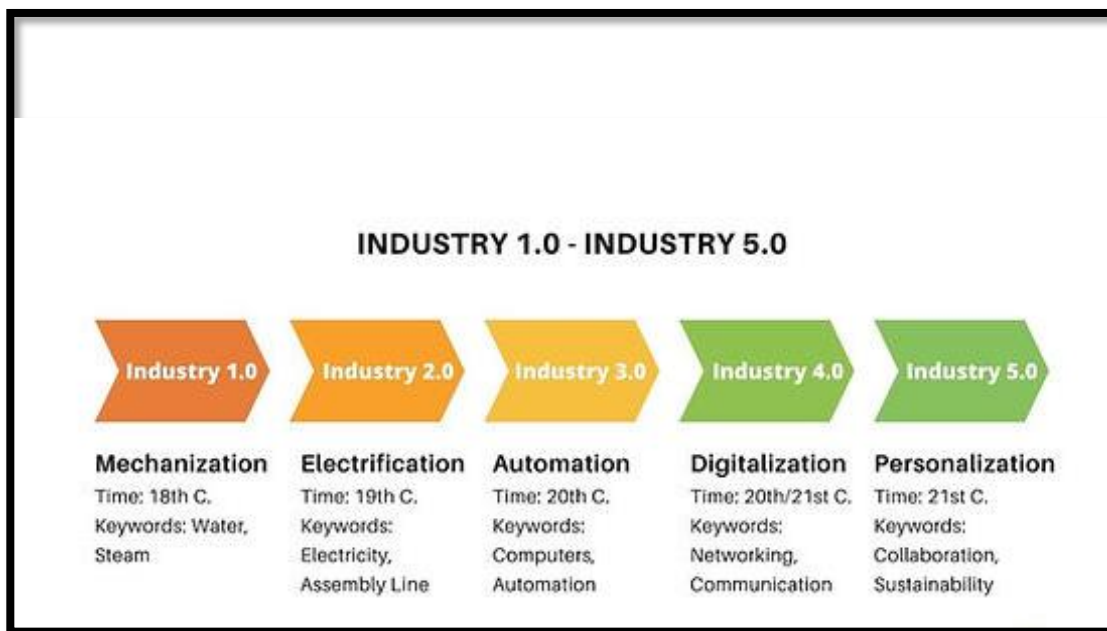


INDUSTRIAL POLICY

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What is Industry?

- **Industry** is a part of **secondary sector of economy** which is responsible for **processing of raw materials from primary sector into valuable goods.**



First Industrial Revolution: 1765

The first industrial revolution **began in Britain in the late 18th century**, with the **mechanization of the textile industry.**

Second Industrial Revolution: 1870

Nearly a century later at the end of the 19th century, new technological advancements initiated the **emergence of a new source of energy: electricity, gas and oil.** As a result, the development of **the combustion engine** set out to use these new resources to their full potential. **Methods of communication were also revolutionized with the invention of the telegraph and the telephone** and so were transportation methods with the **emergence of the automobile (Ford's mass production techniques)** and the plane at the beginning of the 20th century.

Third Industrial Revolution: 1969

For industry, this **revolution gave rise to the era of high-level automation** in production, thanks to two major inventions: **automatons (programmable logic controllers) and robots.**

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Fourth Industrial Revolution (Industry 4.0): Smart Manufacturing

"Data is often referred to as the raw material of the twenty-first century."

Industry 4.0 concentrates on the end-to-end digitisation of all physical assets and their integration into digital ecosystems with value chain partners.

INDUSTRY 4.0 RELATED INITIATIVES:

SAMARTH Udyog Bharat 4.0

SAMARTH Udyog Bharat 4.0 is an Industry 4.0 initiative of Ministry of Heavy Industry & Public Enterprises, Government of India **under its scheme on Enhancement of Competitiveness in Indian Capital Goods Sector.**

SAMARTH Udyog encompasses **manufacturers, vendors and customers as the main stakeholders**. The experiential and demonstration centres for Industry 4.0 have been proposed to spread awareness about I4.0 amongst the Indian manufacturing industries.

Five centres of I4.0 having a unique identity for spreading awareness and branding have been sanctioned under SAMARTH Udyog. It is emphasized that these **centres would have resource sharing, common platform of industry 4.0 and network each other's resources** so that the utilization of resources is maximised.

In Phase II of the Capital Goods Scheme, **C4i4 Pune** has been entrusted with the responsibility of establishing 10 additional Industry 4.0 centers at various locations across India.

- Center for Industry 4.0 (C4i4) Lab Pune
- IITD-AIA Foundation for Smart Manufacturing
- I4.0 India at IISc Factory R & D Platform
- Smart Manufacturing Demo & Development Cell at CMTI
- Industry 4.0 projects at DHI CoE in Advanced Manufacturing Technology, IIT Kharagpur

Industrial Policy

The **industrial policy** means the **procedures, principles, policies rules and regulations which control the industrial undertaking of the country and pattern of**

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industrialization. It explains the approach of Government in context to the development of industrial sector.

In India the **key objective of the economic policy is to “achieve self-reliance in all sectors of the economy and to develop socialistic pattern of society”.**

The **industrial policy in the pre-reform period** i.e. before 1991 put **greater emphasis on the state intervention** in the field of industrial development.

The **main objectives of the Industrial Policy of the Government are:**

- to **maintain a sustained growth in productivity;**
- to **enhance gainful employment;**
- to **achieve optimal utilization of human resources;**
- to **attain international competitiveness; and**
- to **transform India into a major partner and player in the global arena.**

➤ The **first industrial policy was in 1948** that gave a basic framework to a mixed economy. **Second Industrial Policy in 1956** provided the whole regulatory framework for a public sector oriented industrial development.

➤ **Industrial Policy 1991 or the New Industrial Policy** made a total change in industrial regulation as well as the entire economic management by bringing what we call the economic reforms.

Evolution of Industrial Policy in India

<u>INDUSTRIAL POLICY RESOLUTION 1948</u>	<u>INDUSTRIAL POLICY RESOLUTION 1956</u>

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• State had monopoly in three fields - Arms and ammunition, atomic energy and rail transport. • It introduced a form of institutional network for the development of the industry which is called the mixed economy model. • The government was allowed to take an active role in industrialization and the private sector was allowed but under the direction and regulation of the government. • The policy introduced a threat of nationalization whereby the existing industry in the private sector was subject to a takeover by the government after a performance review • It also accepted importance of small and cottage industries for their contribution in production and employment generation at local level.	• It divided industries into three categories: 1. Schedule A: Monopoly of the State (Atomic energy) 2. Schedule B: Mixed sector of Public and Private enterprise (machine tools) 3. Schedule C: Industries for Private Sector (Not listed in any schedule) • It emphasized the mutual dependence of public and private sectors. • It called for reduction in regional inequalities and focused on growth of small-scale industries. • For example, it promoted transport and power facilities in backward regions under this policy. • Similar to 1948 resolution, it aimed to strengthen mixed economy structure.
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The **Industrial Policy Resolution, 1956** was to be implemented through a system of **licensing and controls** that was institutionalized by the **Industries Development and Regulation Act 1951, Monopolies and Restrictive Trade Practices 1969, and Foreign Exchange Regulation Act 1973.** Their features are mentioned below:

IDRA, 1951	MRTP, 1969	FERA, 1973
Restrictive provisions: • Registration and licensing of industrial undertakings • Enquiry of industries listed in the schedule Reformative Provisions • Direct regulation by the government	• It was enacted to prevent monopoly and promote competition among industries. • MRTP Commission was established and permission has to be taken for merger,	• Purpose of this Act was to regulate dealings in forex. • Exports were not allowed as there were reluctance that domestic availability will go down • The dollar was heavily regulated

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Establishment of Central Advisory Council for cooperation from workers.	acquisition, appointments, etc.	Foreign investment was also controlled under this act.
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Industrial policy 1991: set out directions for industrialization in an economy that began its journey in liberalization. It dealt with liberalizing licensing and measures to encourage foreign investments. A policy for public sector enterprises and the Monopolies and Restrictive Trade Practices Act were introduced.

Elements of Industrial Policy, 1991: The Government decided to take series of initiatives in key areas:

The **important elements of NIP can be classified as follows:**

1. Public sector de-reservation and privatization of public sector through dis-investment;
2. Industrial Delicensing;
3. Amendments of Monopolies and Restrictive Trade Practices (MRTP) Act, 1969;
4. Liberalized Foreign Investment Policy;
5. Foreign Technology Agreements (FTA);
6. Dilution of protection to SSI and emphasis on competitiveness enhancement.

1. Public Sector De-Reservation and Privatization through Dis-Investment: Till 1991, Public Sector was assigned a pre-eminent position in Indian Industry to enable it to achieve “commanding heights of the economy” under the Industrial Policy Resolution (IPR), 1956.

Need for De-Reservation

Serious **problems observed in the Public Sector Enterprises** include insufficient growth in productivity, poor project management, over-manning, lack of continuous technological upgradation, and inadequate attention to R&D and human resource development. In addition, public enterprises have shown a very low rate of return on the capital invested.

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This has inhibited their ability to re-generate themselves in terms of new investments as well as in technology development. The result is that many of the public enterprises have become a burden rather than being an asset to the Government.

Accordingly, **areas of strategic importance and core sectors were exclusively reserved for public sector enterprises.**

De-reservation of public sector: Sectors that were earlier exclusively reserved for public sector were reduced. However, **pre-eminent place of public sector in 5 core areas like arms and ammunitions, atomic energy, mineral oils, rail transport and mining were continued.**

As per **Industrial Policy 1991**, the **priority areas for growth of public enterprises** in the future will be the following:

- **Essential infrastructure goods and services.**
- **Exploration and exploitation of oil and mineral resources.**
- **Technology development and building** of manufacturing capabilities in areas which are crucial in the long-term development of the economy and where private sector investment is inadequate.
- **Manufacture of products where strategic considerations predominate such as defense equipment.**
- **At the same time the public sector will not be barred from entering areas not specifically reserved for it.**

Sectors exclusively reserved for Public Sector

1. **Atomic Energy** (Production, Separation or enrichment of special fissionable materials and substances and operation of the facilities)
2. **Railway operations other than construction, operation and maintenance of the following:**
 - (i) Suburban corridor projects through PPP, (ii) High speed train project, (iii) dedicated freight lines, (iv) Rolling stock including train sets, and locomotives/coaches manufacturing and maintenance facilities, (v) Railway Electrification, (vi) Signalling systems, (vii) freight terminals, (viii) Passenger terminals, (ix) infrastructure in industrial park pertaining to railway line/sidings including electrified railway lines and connectivity to main railway lines and (x) Mass Rapid Transport systems.

2. Industrial Delicensing: The removal of licensing requirements for industries, domestic as well as foreign, commonly known as **"de-licensing of industries"** is another important feature of NIP.

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Till the 1990s, licensing was compulsory for almost every industry, which was not reserved for the public sector. This licensing system was applicable to all industrial enterprises having an investment in fixed assets (which include land, buildings, plant & machinery) above a certain limit. **With progressive liberalization and deregulation of the economy, industrial license is required in very few cases.**

Industrial licenses are regulated under the industries (Development and Regulation) Act 1951. Industrial undertakings to be located within 25 kms of the standard urban area limit of 23 cities having a population of 1 million as per 1991 census require an industrial license.

Industries subjected to compulsory Licensing in India:

Industrial licensing has, therefore, been abolished for most of the industries and there are **only 4 industries at present related** to security, strategic and environmental concerns, where an industrial license is currently required:

- **Electronic aerospace and defense equipment:** All types.
- **Industrial explosives** including detonating fuses, safety fuses, gunpowder, nitrocellulose and matches.
- **Specified Hazardous chemicals** i.e. (i) Hydrocyanic acid and its derivatives; (ii) Phosgene and its derivatives and (iii) Isocyanates & Disocyanates of hydrocarbon, not elsewhere specified (example Methyl Isocyanate).
- **Cigars and cigarettes of tobacco** and manufactured tobacco substitutes.

Amendment of Monopolies and Restrictive Trade Practices (MRTP) Act, 1969: An important objective of India's earlier industrial policies was to **prevent emergence of private monopolies** and concentration of economic power in a few individuals.

Accordingly, **Monopolies and Restrictive Trade Practices (MRTP) Act, 1969** was enacted and MRTP Commission was set up as a permanent body to periodically review industrial ownership, **advise the government to prevent concentration of economic power, investigate monopolistic trade practices and inquire into restrictive trade practices, which are prejudicial to public interest.**

An MRTP firm was mainly defined in terms of asset size. **An MRTP company had to obtain prior approval** of the government for setting up a new enterprise as well as for expansion. **However, MRTP Act** was applicable only to private sector companies.

Since 1991 MRTP Act has been restructured and **pre-entry restrictions** have been removed with regard to prior approval of the government for the establishment of a new undertaking, expansion, amalgamation, merger, take over, and appointment

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of directors of companies. **The asset restriction and market share** for defining an MRTP firm has been done away with. MRTP Act is now applicable to both private and public sector enterprises and financial institutions.

Today **only restrictive trade practices of companies are monitored and controlled.** The MRTP act has been replaced by the Competition Act, 2002. **This law aims at upholding competition in the Indian market.** The competition commission of India has been established in 2003 which mainly control the practice that have an adverse impact on competition.

4. Liberalized Foreign Investment Policy: India's earlier industrial policies welcomed FDI but emphasized that ownership and control of all enterprises involving foreign equity should be in Indian hands. The NIP radically reformed foreign investment policy to attract foreign investment. As per Industrial Policy 1991, the government has been decided to provide approval for direct foreign investment upto **51% foreign equity in such industries.** There shall be **no bottlenecks of any kind in this process.** This group of industries has generally been known as the "**Appendix I Industries**" and are areas in which **FERA companies have already been allowed to invest on a discretionary basis.**

The high-priority industries listed under Appendix I include sectors such as:

- Machinery (rubber, printing, electrical, industrial, and agricultural)
- Processed food
- Oil extraction
- Cement
- Metallurgical industries, etc.

5. Foreign Technology Agreements: With a view to **injecting the desired level of technological dynamism in the Indian industry**, Government will provide automatic approval for technology agreement related to high priority industries within specified parameters.

Indian **companies will be free to negotiate the terms of technology transfer** with their **foreign counterparts according to their own commercial judgement.**

In order to help this process, the hiring of foreign technicians and foreign testing of indigenously developed technologies, will also not require prior clearance as prescribed so far, individually or as a part of industrial or investment approvals.

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PUBLIC SECTOR UNDERTAKINGS

- **Public Sector Undertakings** are the business units owned managed and controlled by the govt. with a view to maximizing social welfare and upholding public interest are known as Public Sector Enterprises (PSEs).

MAHARATNA: The CPSEs meeting the following criteria are eligible to be considered for grant of Maharatna status.

- Having Navratna status
- Listed on Indian stock exchange with minimum prescribed public shareholding under SEBI regulations
- An average annual turnover of more than Rs. 25,000 crores during the last 3 years
- An average annual net worth of more than Rs. 15,000 crores during the last 3 years
- An average annual net profit after tax of more than Rs. 5,000 crores during the last 3 years
- Should have significant global presence/international operations.

NAVRATNA: The CPSEs which are Miniratna I, Schedule 'A' and have obtained 'excellent' or 'very good' MOU rating in three of the last five years and having composite score of 60 or above in following six selected performance indicators are eligible to be considered for grant of Navratna status. (Maximum weight – 100)

Net Profit to Net worth	25
Manpower cost to total cost of production	15
PBDIT to capital employed	15
PBDIT to Turnover	15
Earnings per share	10
Inter Sectoral Performance	20

MINI RATNA

- **Miniratna Category-I status:** The CPSEs which have made profit in the last three years continuously, pre-tax profit is Rs.30 crores or more in at least one of the three years and have a positive net worth are eligible to be considered for grant of Miniratna-I status.
- **Miniratna Category-II status:** The CPSEs which have made profit for the last three years continuously and have a positive net worth are eligible to be considered for grant of Miniratna-II status.

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- **Miniratna** CPSEs should have not defaulted in the repayment of loans/interest payment on any loans due to the Government.
- **Miniratna** CPSEs shall not depend upon budgetary support or Government guarantees.

POLICY OF STRATEGIC DISINVESTMENT:

The **government aims** at **making use of disinvestment proceeds** to finance various social sector and developmental programmes and also to infuse private capital, technology and best management practices in Central Government Public Sector Enterprises.

Fulfilling the governments' commitment under the **AatmaNirbhar Package** of coming up with a **policy of strategic disinvestment of public sector enterprises**, the Minister highlighted the following as its main features:

1. **Existing CPSEs, Public Sector Banks and Public Sector Insurance Companies** to be covered under it.
2. **Two-fold classification** of Sectors to be disinvested:
 - a. **Strategic Sector:** **Bare minimum presence** of the public sector enterprises and **remaining to be privatised or merged or subsidiarized** with other CPSEs or closed. Following 4 sectors to come under it:
 1. Atomic energy, Space and Defence
 2. Transport and Telecommunications
 3. Power, Petroleum, Coal and other minerals
 4. Banking, Insurance and financial services
 - b. **Non- Strategic Sector:** In this sector, CPSEs will be privatised, otherwise shall be closed.

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Ministry of Finance Year End 2024

[Department of Investment and Public Asset Management (DIPAM)]

The **disinvestment target set out in Budget 2025-26 is Rs 47,000 crore**, lower than the budget target of 2024-25 (Rs 50,000 crore).

Total Disinvestment Receipts for FY 2024-25: Rs. 10,131.32 crores

- **Note: Ferro Scrap Nigam Ltd. (FSNL) was a 100% subsidiary of MSTC Ltd. The highest bid of M/s. Konoike Transport Co. Ltd. for 100% shares of FSNL held by MSTC Ltd. at the equity value of Rs. 320 cr. was accepted by the Government.**

Total Disinvestment Receipts for FY2025-26 (as of April 2025): Rs. 3,673.42 crores.

MICRO, SMALL & MEDIUM ENTERPRISES:

Economic development of a nation is closely associated with the growth of its industrial sector. Industrial sector is composed of Large, Medium, Small and Micro enterprises. While large industries help in the overall economic development of a nation, the contribution of MSMEs is quite significant in employment generation, industrial production and exports.

Importance of MSMEs

MSME industries have the advantage of labor intensiveness, low-cost technology, low capital/investment, short gestation period and their strong forward and backward linkages with other sectors. The following are certain facts regarding MSMEs:

- Over **1 crore registered MSMEs** in India.
- Employ **7.5 crore people**
- contribute **36% of manufacturing output.**

Account for 45% of exports, showcasing their global competitiveness

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Policy for Micro, Small & Medium Enterprises Sector: In accordance with the provision of Micro, Small & Medium Enterprises Development (MSMED) Act, 2006 the Micro, Small and Medium Enterprises (MSME) are **classified in two Classes:**

- **Manufacturing Enterprises:** The **enterprises engaged in the manufacture or production of goods pertaining to any industry specified in the first schedule** to the industries (Development and regulation) Act, 1951) or **employing plant and machinery in the process of value addition to the final product** having a distinct name or character or use. **The Manufacturing Enterprises** are defined in terms of investment in Plant & Machinery.
- **Service Enterprises:** The **enterprises engaged in providing or rendering of services** and are defined in terms of investment in equipment.

MSME CLASSIFICATION CRITERIA:

₹ in Crore	Investment		Turnover	
	Current	Revised	Current	Revised
Micro Enterprises	1	2.5	5	10
Small Enterprises	10	25	50	100
Medium Enterprises	50	125	250	500

To achieve the target of becoming a 5 trillion-dollar economy, the contribution of MSME sector to India's GDP needs to be increased from 29% to 50% by 2025. This will only be attained by addressing numerous issues that have been marring the sector.

ISSUES FACED BY THE MSME SECTOR

Credit:

- **Gross bank credit deployed to MSMEs** under priority sector lending **in February this year was 15.6 per cent of India's total non-food credit** worth Rs 179.4 lakh crore.
- As per a **BCG report, around 40% of MSME lending** is done through the **informal** sector.

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Delay in Payments

- As per a recent **Global Alliance for Mass Entrepreneurship (GAME)** report, **80% of the annual delayed payments** were owed to micro and small suppliers, restricting their cash flows and pushing them towards bankruptcy.

Lack of Technological Adoption

- **Limited resources prevent investment in research and development.**
- **Poor skilled labor also** prevents technological adoption as it requires training.

Low Quality Production

- **Non-availability of suitable tech creates a perception of low-quality production.**
- This, in turn, **hurts their product's export competitiveness.**

Lack of Access to Markets

- **Ineffective Marketing Strategies;** Market Uncertainty.
- Asymmetrical competition with **Multi-National Companies.**

Legal

- **Limitations imposed by legal compliances** of labor laws, taxation and exit policies restrict the growth of the sector

Infrastructure Deficit

- **Lack of essential infrastructure in rural areas** affect the capacity building and scaling of these enterprises

Incentive to remain small

- As per Economic Survey 1208-19, size-based incentives given to MSMEs has resulted into the proliferation of small firms that are contrary to popular opinion restricts job creation.

ROLE OF GOVERNMENT IN THE PROMOTION OF MSME SECTOR

- The **majorities of people living in rural areas** draw their livelihood from agriculture and allied sectors. The socio-economic policies adopted by the Indian Govt. since the Industries (Development and Regulation) Act, 1951 have **laid stress on MSMEs as a means to improve the country's economic conditions.**

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- **The primary responsibility of promotion and development of MSMEs is of the State Governments. The role of the Ministry of Micro, Small and Medium Enterprises and its organizations is to assist the States** in their efforts to encourage entrepreneurship, employment and livelihood opportunities and enhance the competitiveness of MSMEs in the changed economic scenario.

Following, are some of the new initiatives undertaken by the Government of India for the promotion and development of MSMEs: -

- **Udyog Aadhar Number:** MSMEs can file one page registration form (Udyog Aadhar Memorandum) that would constitute a **self- declaration format** under which the MSME will self-certify its existence, bank account details, promoter/owner's Aadhaar detail and other basic details, based on which **MSMEs will be issued a unique identifier i.e. "Udyog Aadhar Number"** which enable MSMEs to seek information and apply online about various services being offered by all Ministries and Departments. (Based on KV Kamath committee report).
- **ASPIRE:** Government has launched **A Scheme for Promotion of Innovation, Rural Industries & Entrepreneurship" (ASPIRE)** with the objective of setting up a network of **technology Centres and incubation Centres** to accelerate entrepreneurship and **promote start-ups** for innovation and entrepreneurship in rural and agriculture-based industries.
- **Employment Exchange:** Government of India has launched **Employment Exchange for Industries** to facilitate match making between prospective job seekers and employers.
- **Faster access to credit:** Through the **PSB Loans in 59 Minutes initiative**, **MSMEs can receive in-principal approval** for working capital and term loans ranging **from Rs. 1 lakh to Rs. 5 crores within 59 minutes**.
- **CHAMPIONS:** In May, 2020, the GoI launched **CHAMPIONS online platform** to **help and handhold the MSMEs**. 'CHAMPIONS' stands for **Creation and Harmonious Application of Modern Processes for Increasing the Output and National Strength**. It is an **ICT based technology system** aimed at **making the smaller units big by solving their grievances, encouraging, supporting, helping** and handholding them throughout the business lifecycle. The platform facilitates a single window solution for all the needs of the MSMEs.

PROVISIONS UNDER BUDGET 2025-26 FOR MSME:

➤ **Key Enhancements:**

- **Micro and Small Enterprises:**

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- **Credit guarantee cover** increased from ₹5 crore to ₹10 crore .
- Expected to unlock ₹1.5 lakh crore in additional credit over the next 5 years.
- **Startups:**
 - **Guarantee cover** raised from ₹10 crore to ₹20 crore .
 - **Guarantee fee reduced to 1% for loans in 27 focus** sectors critical for Atmanirbhar Bharat .
- **Exporter MSMEs :**
 - **Term loans up to ₹20 crore** will now be eligible for guarantee cover.
- **Credit Cards for Micro Enterprises**
 - Customized **Credit Cards** with a ₹ 5 lakh limit
 - To **issue 10 lakh cards** in the first year.
 - Beneficiaries: **Micro enterprises registered on the Udyam portal.**
- **Fund of Funds for Startups**
 - Existing fund with **Government contribution: ₹10,000 crore;** new fund: of **additional ₹10,000 crore.**
 - Total Alternate Investment Funds (AIFs) **commitments: Over ₹91,000 crore**
- **Scheme for First-time Entrepreneurs:**
 - Beneficiaries: **5 lakh women, SC, and ST entrepreneurs.**
 - Loan limit: **Up to ₹2 crore over 5 years.**
 - The scheme will **incorporate lessons from the successful Stand-Up India scheme.**
 - **Online capacity building for entrepreneurship and managerial skills** will also be organized.
- **Focus Product Scheme for Footwear & Leather Sectors:**
 - To enhance the **productivity, quality and competitiveness of India's** footwear and leather sector, a focus product scheme will be implemented.
 - The scheme will **support design capacity, component manufacturing, and machinery required for production of non-leather quality footwear,** besides the

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support for leather footwear and products

- The scheme is expected to facilitate employment for **22 lakh persons**, generate **turnover of ₹ 4 lakh crore** and **exports of over ₹ 1.1 lakh crore**.

- **Measures for the Toy Sector:**

- Building on the **National Action Plan for Toys**, we will implement a **scheme to make India a global hub for toys**.
- The scheme will focus on **development of clusters, skills, and a manufacturing ecosystem** that will create **high-quality, unique, innovative, and sustainable toys** that will represent the 'Made in India' brand.

- **Support for Food Processing:**

- Establishment of a **National Institute of Food Technology, Entrepreneurship and Management in Bihar**
- The institute will provide a strong **fillip to food processing activities in the entire Eastern region**. This will result in:
 - **enhanced income for the farmers** through value addition to their produce, and
 - **skilling, entrepreneurship and employment opportunities** for the youth.

- **Manufacturing Mission - Furthering “Make in India”:**

- Government will set up a **National Manufacturing Mission** covering **small, medium and large industries** for furthering “Make in India” by providing **policy support, execution roadmaps, governance and monitoring framework** for central ministries and states.

- **Manufacturing Mission - Furthering “Make in India: The Mission’s mandate will include 5 focus areas:**

1. **ease and cost of doing business;**
2. **future ready workforce for in-demand jobs;**
3. **a vibrant and dynamic MSME sector;**
4. **availability of technology; and**
5. **quality products.**

- **Clean Tech Manufacturing:**

- The Mission will also support **Clean Tech manufacturing**.

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➤ **This will aim to improve domestic value addition and build our ecosystem for:**

- **solar PV cells,**
- **EV batteries,**
- **motors and controllers,**
- **electrolyzers,**
- **wind turbines,**
- **very high voltage transmission equipment and**

grid scale batteries.

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KHADI AND VILLAGE INDUSTRIES COMMISSION (KVIC):

KVIC is a statutory body established in 1956 as per “The Khadi and Village Industries Commission Act 1956”.

- The social objective of **providing employment**
- The economic objective of **producing saleable articles**
- The wider objective of creating **self-reliance amongst the poor** and building up of a **strong rural community spirit**

Functions of KVIC:

- To **plan and organize training of persons employed** or desirous of seeking employment in khadi and village industries
- To **build up reserves of raw materials and implements/tools and supply** them to persons engaged or likely to be engaged in production of khadi or village industries
- To **promote sale and marketing of khadi or products of village industries or handicrafts**
- To **encourage and promote research** in the technology used in khadi and village industries
- To **provide financial assistance to institutions or persons engaged in the development and operation of khadi** or village industries and guide them through supply of designs, prototypes and other technical information
- To **promote and encourage co-operative efforts** among the manufacturers of khadi or persons engaged in village industries

NORTH EAST INDUSTRIAL & INVESTMENT PROMOTION POLICY (NEIIPP)

With a view to give a further **boost to industrialization in the north eastern region**, the erstwhile **North East Industrial Policy (NEIP), 1997 was revised** and a new policy, namely **North East Industrial & Investment Promotion Policy (NEIIPP) 2007**, was notified w.e.f. 1.4.2007 which will remain in force up to 31.03.2017. Benefits under **NEIIPP, 2007 have also been extended**, for the first time, to select service sector units, **bio-technology units and power generating units** (up to 10 mw), **besides industries in the manufacturing sector**.

Scheme Objectives: - The objective of the scheme is to **boost industrialization in North Eastern Region**.

DPIIT is the implementing agency of NEIIPP, 2007.

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North Eastern Development Finance Corporation Ltd. (NEDFi), Guwahati is the nodal agency for disbursal of subsidies under various subsidy schemes of NEIIPP, 2007.

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INDUSTRIAL ECOSYSTEM: ORGANIZATIONS AND INSTITUTIONS:

DPIIT

- **The Department for Promotion of Industry and Internal Trade (DPIIT)** (earlier Department of Industrial Policy and Promotion) **under Ministry of commerce and Industry** was established in 1995 and has **been reconstituted in the year 2000** with the **merger of the Department of Industrial Development**.
- **The industrial policy is being implemented by the DPIIT.**

UNIDO:

- The **United Nations Industrial Development Organization (UNIDO)**, French/Spanish acronym ONUDI, is a specialized agency in the United Nations system, **headquartered in Vienna, Austria.**
- The Organization's primary **objective is the promotion and acceleration of industrial development in developing countries** and countries with economies in transition and the promotion of international industrial cooperation. **It is also a member of the United Nations Development Group.**
- The **Department for Promotion of Industry and Internal Trade (DPIIT) is the nodal Department** in Government of India for coordinating and implementing programmes with **United Nations Industrial Development Organization (UNIDO)** in India.

NATIONAL MANUFACTURING POLICY (NMP):

In order to bring about a quantitative and qualitative change and to give necessary impetus to the manufacturing sector, the Department has notified the **National Manufacturing Policy (NMP)** in 2009 with the **objective of enhancing the share of manufacturing in GDP to 25% and creating 100 million jobs by 2022.**

The policy is **based on the principle of industrial growth in partnership with the States.**

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NATIONAL INVESTMENT AND MANUFACTURING ZONES:

These zones **have been conceived as large integrated industrial townships** with **state-of-art-infrastructure**; land use on the **basis of zoning**; **clean and energy efficient technology**; **necessary social infrastructure**; skill development facilities, etc. to provide a conducive environment for manufacturing industries.

So far Fourteen NIMZs have been granted in-principal approval **outside the Delhi-Mumbai Industrial Corridor (DMIC) region**, out of which NIMZs at **Prakasam** in Andhra Pradesh; **Medak** in Telangana and **Kalinga Nagar**, Jajpur district in Odisha have been granted final approval.

SEZ:

Special economic zones (SEZs) in India are **areas that offer incentives to resident businesses**. **SEZs typically offer competitive infrastructure, duty free exports, tax incentives**, and other measures designed to **make it easier to conduct business**. Accordingly, **SEZs in India are a popular investment destination** for many multinationals, particularly exporters.

India was one of the first in Asia to recognize the effectiveness of the **Export Processing Zone (EPZ)** model in promoting exports, with **Asia's first EPZ set up in Kandla in 1965**.

With a view to overcome the shortcomings experienced on account of the multiplicity of controls and clearances; absence of world-class infrastructure, and an unstable fiscal regime and with a view to attract larger foreign investments in India, the **Special Economic Zones (SEZs) Policy was announced in April 2000**.

The **Special Economic Zones Act, 2005**, was passed by Parliament in May, 2005 which received Presidential assent on the 23rd of June, 2005.

The main objectives of the SEZ Act are:

- generation of **additional economic activity**
- **promotion of exports** of goods and services
- promotion of **investment from domestic and foreign** sources
- creation of **employment** opportunities
- development of **infrastructure** facilities

The SEZ Rules provide for:

- Simplified procedures for development, operation, and maintenance of the Special Economic Zones and for setting up units and conducting business in SEZs;
- Single window clearance for setting up of an SEZ;
- Single window clearance for setting up a unit in a Special Economic Zone;

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- Single Window clearance on matters relating to Central as well as State Governments;
- Simplified compliance procedures and documentation with an emphasis on self-certification.

Fact Sheet on Special Economic Zones as on 30.06.2025

(Dedicated website: www.sezindia.nic.in)

Number of Formal approvals (As on 30.06.2025)	419
Number of notified SEZs (As on 30.06.2025)	370 (Including 7 Central Govt.+10 State Govt. / Private Sector SEZs set up prior to the enactment of SEZ Act, 2005)
Number of In-Principle Approvals (As on 30.06.2025)	36
Operational SEZs (As on 31 st March, 2025)	276
Units approved in SEZs (As on 31 st March, 2024)	6279

Statista Report (June 2024):

Goods Exports from SEZs in **FY 2024** (likely referring to FY23–24) were **\$63 billion for select zones** (e.g., **Kandla SEZ alone contributed \$35 billion**).

MAKE IN INDIA

- Govt. of India launched the **“Make in India” campaign in Sept. 2014** which is the **first of its kind for the manufacturing sector as it addresses** areas of regulation, infrastructure, skill development, technology, availability of finance, exit mechanism and other pertinent factors
- Since its launch, Make in India initiative has made significant achievements and presently focuses on 27 sectors under Make in India 2.0. Department for Promotion of Industry and Internal Trade is coordinating action plans for manufacturing sectors (15), while Department of Commerce is coordinating service sectors (12).

Targets under Make in India

- **Increase in manufacturing sector growth to 12-14% per annum**
- Increase in the **share of manufacturing in country's GDP from 15% to 25% by 2025**
- **Create 100 million additional jobs by 2022** in manufacturing sector

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- Increase in domestic value addition and technological depth in manufacturing
- Enhance the global competitiveness of the Indian manufacturing sector
- **Create appropriate skill sets** among rural migrants & urban poor for inclusive growth
- Ensure **sustainability of growth, particularly with regard to environment**

START-UPS AND POLICY ENABLERS FOR INNOVATION

As per **Ministry of Commerce & Industry (DPIIT)**, an entity shall be considered as a **Startup**:

Up to a period of ten years from the date of its incorporation

- **Turnover** of the entity since its incorporation has **not exceeded Rs. 100 crores** in any FY.
- **The entity is working towards innovation, development or improvement** of products or process or services, or if it is a scalable business model with a high potential of employment generation and wealth creation.

Government has launched various schemes over the past few years to promote a culture of entrepreneurship, innovation and start-ups in the country:

- **Stand Up India**: It is aimed at **promoting entrepreneurship and job creation** at the grassroots level, especially keeping in mind the SCs/STs and women.
- **Start Up India**: Aimed at **promoting bank financing for startup ventures** to boost entrepreneurship and encourage job creation. Rural India's version of Startup India has been named Deen Dayal Upadhyaya Swaniyojan Yojana.
- **Atal Innovation Mission (AIM)**: Govt's flagship initiative **to promote a culture of innovation and entrepreneurship in the country**. AIM's objective is to develop new programmes and policies for fostering innovation in different sectors of the economy, provide platform and collaboration opportunities for different stakeholders create awareness and create an umbrella structure to oversee innovation ecosystem of the country.
- **Chunauti**: Govt. of India (MeitY) launched Project "Chunauti" (challenge) - **Next Generation Startup Challenge Contest** to further boost startups and software products with special focus on Tier-II towns of India. It aims to identify around 300 startups working in identified areas and provide them seed fund of up to Rs. 25 Lakhs and other facilities.

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- **Priority Sector Lending (PSL):** Startups have now been included under the priority sector lending rules of RBI for credit from banks.
- **Tax exemption:** Startups can avail tax holiday for 3 consecutive financial years out of its first ten years since incorporation
- **State Rankings:** DPIIT provides ranking of States based on the various policy initiatives regarding promotion and support of startups
- **Knowledge Involvement in Research Advancement through Nurturing (KIRAN) Scheme**
- The **Biotechnology Ignition Grant (BIG)** scheme
- **Govt. Connect:** Dept. of Animal Husbandry & Dairying has conducted a grand challenge in association with Startup India to award top startups with Rs. 5 lakhs in 5 categories
- **Corporate Connect:** Meta in partnership with Startup India disbursed cash grants of \$50,000 each to the top 5 selected startups.

With more than 40,000 startups registered and recognized by the Govt, **India has the 3rd largest startup ecosystem in the world.**

According to the **Economic Survey 2024-25, Maharashtra remains the clear leader in India's startup ecosystem.**

LAND BANK:

- The **India Industrial Land Bank (IILB)**—operational since August 2020 and continuously upgraded—serves as **the National Land Bank Portal envisioned by DPIIT.**
- **DPIIT in collaboration with teams from Invest India and MeitY has developed the India Industrial Land Bank (IILB) - a GIS (Geographic Information System)** enabled database of industrial areas including clusters, parks, nodes, zones, etc. across the country to help investors identify their preferred location for investment.

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- The portal provides access to information on over 4500 industrial parks mapped across 5.06 lakh hectares of land out of which 1.12 lakh hectare of land is presently available for industrial use.
- As of 2025, the portal now integrates real-time land data from 34 states/UTs, with advanced functionalities.
- **Madhya Pradesh and Uttar Pradesh** have fully integrated GIS systems, enabling real-time updates (e.g., land allotment status changes reflect on the portal within minutes).

NATIONAL SINGLE WINDOW SYSTEM:

NSWS is a **digital one-stop platform** for investors and businesses to identify, apply for, and track approvals from central and state governments.

The **Know Your Approvals (KYA) module** includes guidance for 32 Central Departments and 32 States.

The Know Your Approvals (KYA) module includes guidance for 32 Central Departments and 34 States/UTs.

 All approvals in one place Get everything you need in one place without having to go to individual Ministries, Departments or States	 Real-time status tracking Get real-time updates on the status of your applications and plan your next steps with ease
 Secure document repository Upload documents once and use them in all your applications	 Easy renewal Renew your approvals easily through a seamless interface
 Fast query management Get quick resolution to your queries from our dedicated team	 Know your approvals Use the intelligent questionnaire to easily find out which approvals you might need for your business